Talks at GS Transforming

Private Equity Through Employee Ownership: KKR's Pete Stavros Date of recording: December 4, 2025

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[MUSIC INTRO]

Matt McClure: Welcome to another session of Talks at Goes. I'm Matt McClure, global co-head of Investment Banking here at Goldman. I'm delighted to be joined by our friend Pete Stavros who's co-head of global private equity at KKR. I don't think KKR needs any introduction, but you know, one of the world's leading investment management firms managing over, you know, 500 billion in assets across private equity, credit, real assets.

So, you've been with KKR since 2005, is that right? So, 20 years. You've had a pivotal role in reshaping the firm's private equity strategy. We both kind of grew up in industrials for a number of years. So, knocked heads on a bunch of deals. Pete's been widely recognized for pioneering

broad-based employee ownership models, which we're going to talk a lot about, including founding Ownership Works, which is a non-profit dedicated to this effort.

So, thank you very much for joining us.

Pete Stavros: Thanks for having me.

Matt McClure: All right. Well, we'll kick off with a bit about KKR. So, as I said, you've been there 20 years, talk about how the firm has evolved. You know, it was obviously back in the day much more of a traditional LBO shop. What does that evolution look like? What does it look like today? And then what do you see in terms of going forward?

Pete Stavros: In '05 when I started at the firm, you would have lunch in New York in one boardroom. And you always had to be careful when you got there and who was at lunch because once Henry showed up, you couldn't leave. So, if you got there early, you were done with your lunch, sometimes Henry would come and sit down and then that was another hour because he wants to talk about the firm and deals. The firm was so small in '05.

And since then it's, as you know, gone from private equity only, it was really a US private equity business that expanded first into Europe, then into Asia. We got into credit. Infrastructure. Real estate. It's really become quite a different firm.

The most pivotal moment maybe in the firm's whole history, other than Henry and George founding it, I don't know if you know this story, we raised a $5 billion blind pool of capital on the Euronext exchange. So, this was in the real heyday. This was 2005/2006. I think we were set out to raise a billion and a half. It was massively oversubscribed. So, we raised $5 billion. And it was a public vehicle. And the IPO price was, I think, $25.

And of course it got invested at exactly the wrong moment, right before the recession. So, this vehicle goes from $25, in the recession it goes to $2. And the board comes to KKR and says, "There's no liquidity in this thing. People are very unhappy. We want to get out. But we don't want to sell for like a 30 percent premium to $2." And just to be clear, this vehicle was then basically full of private equity investments. That's what was in this thing. But private

equity investments done right before the recession.

So, Scott Nuttall was really the one who orchestrated the raising of the pool of capital. And then negotiating this deal with the board of the vehicle to take KKR stock, KKR was not public, but this is how KKR when the public. We gave 21 percent of KKR for this vehicle, which didn't have a whole lot of value at the time. And you could argue KKR at the time didn't have a whole lot of value. We were just raising closed-end private equity funds.

What happened was then the value of those private equity investments recovered. And recovered way past cost. That 5 billion went down 90 percent. Recovered probably to 12 billion for 20 percent of the firm. So, suddenly the firm's worth $60 billion. That is what transformed KKR. And that gave us a public currency because KKR effectively became public. That's how we could do things like Global Atlantic. That allowed us to have seed capital to get into and start all these new businesses.

So, it was somewhere between Scott's brilliance and some luck that allowed for-- KKR since then, it's really KKR and Blackstone have massively pulled away from the field. And

a lot of what's allowed us to do that is the balance sheet.

Matt McClure: Talk about the competition and how you see the landscape. Like when you're thinking about who you're really duking it out with--

Pete Stavros: There are maybe a half dozen firms that write sizable checks. From a PE standpoint and the returns are all now public because we're public and we report our flagship fund returns and you can look back for the past 15 plus years. And this was not always the case, but one of the things we're most proud of is the performance. On a relative basis it's hundreds and hundreds, in some cases a thousand basis points of return over the last 15 years relative above our most significant competitors.

So, the firm's been delivering like 20 net for that whole period of time. Which is unusual. And that's, I think, what's allowed our US private equity fund as an example to go from 9 billion to a $20 billion fund. In addition to that, raising a core vehicle which is now tens of billions of dollars. That's where we hold investments for very long periods of time. Sometimes 20 years.

We've started two growth private equity businesses. One in healthcare. One in technology. We have a midmarket fund. And then we have obviously the global expansion. So, in terms of like why did that all happen? What's happened the performance? I do think it's about culture.

So, Henry and George when they started the firm, the reason they left Bear Stearns was they didn't want an "eat what you kill" environment. They wanted to build a more cohesive, collaborative culture. And that's really what I think delivers a different set of outcomes for the firm.

So, there are so many examples where a technology growth investor finds a deal, doesn't really fit for the tech growth fund and serves it up for the flagship fund. The Asia team helps a US business expand into Asia in a genuine way. Not like check the box. I mean, they're actually putting their shoulder into helping a US private equity portfolio company. And the reverse is true as well.

And I think the reason that's an advantage, and Goldman would know this better than anyone, it's very hard to copy culture. So, when we say we're collaborative, finding very driven, aggressive people who also want to be part of a

team, that is a real trick. And it has to do with how we recruit, how we evaluate people, how we promote people, how we compensate people. There's so much that goes into it. We talk about it constantly. And it'd be very hard to say, "Well, you know," pick one of our competitors, "we'll just going to copy the KKR playbook. We're going to be much more collaborative." That's hard to do.

The second thing I would say on the culture is it is a very-- and it's kind of an adjacent point to being collaborative, we're very comfortable with taking chances and taking risks. Prudent ones, obviously. But George and Henry have this mindset of we've just got to keep trying new things. Not all of it's going to work. And anything's possible. And I'll just tell you one quick story about George Roberts. And this will give you a sense for what the firm is like because a lot of it reflects Henry and George.

George was a college student at Claremont McKenna. And Henry and George were not good students. And they openly admit that. In fact, they don't like how many, quote/unquote, "A students" we're always hiring.

Matt McClure: Worked out okay for them.

Pete Stavros: So, George writes his final finance paper at Claremont McKenna. Gets an F. And he goes up to his professor, he says, "I don't understand why you gave me an F." And the guys says, "Well, George, maybe I misunderstood, but my understanding of what you wrote was that you were going to start a company from nothing and it was going to make an offer for General Motors." And George was like, "No, that's right." And he's like, "But the company has no assets, right?" And George was like, "That's right." And the guy's like, "Well, you can't just do that." And George says, "Well, why can't I?"

And that simple mindset is everywhere in KKR of, like, why can't we do anything? And it comes from Henry and George.

Matt McClure: So, as you look forward today, what are the main areas of opportunity you see for KKR?

Pete Stavros: Well, there's a huge opportunity in infrastructure. I think you guys know what's happening in that field. My partner Raj started that from nothing. It's a massive business today. And I think has no sign of slowing

down. And there's lots of other opportunities other than infrastructure. But that's just one that immediately comes to mind because you just see so much potential there.

But in PE, I would say Japan. You know, I think people know there's a real economic renewal happening there. I know you've spent a lot of time there. But from an investor standpoint, there's a big push from the government for more transparency. They want to see independent boards of directors. You know, Tokyo Stock Exchange will push companies to not sit on pools of cash, to sell non-core businesses. They're definitely moving in a more American direction. It's going to unleash a massive amount of value creation.

Thankfully, we were there early. We got into Japan in '06, well before most people. It took us ten years to kind of get going because it's a long-term market, as you know Matt. But we've now done two dozen deals. Among the best we've ever done at the firm. And there's a huge amount yet to come in Japan.

I would say in Europe and Germany there's a lot going on. This idea of the Mittelstand, you know, these thousands of

family businesses that are really good mid market companies that often don't have successors. We've had a lot of success there and I think there's a lot more to come. And then the US is always going to be a big area of focus for us.

And I would say, you know, our old stomping ground - industrials. I think continues to be an area we have found a lot of opportunity. And the great thing about industrials, not a lot of growth and it's cyclical and it's capital intensive. But if you can find the right businesses, there are so many levers to pull. You know? If you think about sourcing. You've got long supply chains, everything you can do in a plant, everything you can do out in the field. There's more to do there than a software company, you know, which has engineers and salespeople. There's a lot going on in industrials operationally.

Matt McClure: This is less a KKR-specific observation, but when you look at private equity generally, and we've been talking about this it feels like for years, there's just this glut of properties that need to come to market that may well be mismarked in the portfolios of some of your competitors. What do you think the end game is there? It

feels like we've been talking about this tsunami of assets that are going to come to market. And it's just not happening yet.

Pete Stavros: Yeah. So, first, in terms of what happened. How did we get here? You remember this example I gave you that we made a huge mistake prior to the great recession. We overspent. We spent our money too quickly. Our whole industry did that in 2021 and the first half of 2022. So, the ten year was 1 percent. Private market values were very high. The private markets were on fire. And you had firms spend entire funds in 12 to 18 months.

And then they went right back to market to raise new-- so, put yourself in the perspective of a limited partner. You give a private equity firm X, Y, Z. A billion dollars to invest. They're back in 18 months. They want another billion dollars. And you've seen none of that first billion come back. And that first billion, again, was invested at exactly the wrong time. So, those are going to take a long time to mature. And LPs are totally upside down right now in terms of their deployment versus money back equations. That's where we're stuck. And that's where people are saying, "What the heck's going on with monetizations?" It's

not so much that industry monetizations have collapsed as much as deployment exploded at the wrong moment in time.

So, the end game to this, to your question, is those vintages are going to take a long time to mature and to ultimately exit. And for a period of time, fundraising is going to be very difficult because LPs are stretched from a liquidity standpoint.

Matt McClure: I was going to ask, what is the dynamic like amongst LPs at the moment? I mean, has the fundraising environment improved at all? Or it's still--

Pete Stavros: It's still very tough. Yeah. When you asked earlier about advantages of KKR competitively, one of the advantages is we've been around so long. So, we've made so many mistakes, but we've learned from them and put processes in place not to make them. So, we didn't make that mistake in '21 and '22.

So, we're coming off of a few vintages of funds that outperformed. And now our current vintage of fund, almost we can't help it outperform because, yes, we've got

exposure to '21 as well. But it's a fifth of our fund. So, there's almost like nothing we can do to outperform because we didn't make that mistake. Not because we're smarter. But we screwed that up before. And we put processes in place not to do it again.

So, the dynamic in fundraising is still tough. Until this gets rightsized, it's going to, I think, be a slog. I think a lot of people talk about, okay, well, where are we in the industry from the perspective of, is this a good time to invest? And I've already acknowledged we don't know. And nobody knows.

But when you look at things like-- one of the things that's misunderstood is dry powder. People will say, "There's an explosion in dry powder." That's true. But the S&P's gone up, what, four-fold in the last 20 years. So, relative to market cap, the dry powder is in, like, a very reasonable place.

And then relative to the opportunity set, one of the things we look at is dry powder relative to NAV. So, look at the total NAV of the private equity industry and how much dry powder is there relative to that. That ratio is at a historic

low. So, there's like 35 to 40 cents on the dollar available in dry powder relative to equity in the ground.

So, when that equity in the ground needs to find a new home, there's not going to be that many homes to be found. So, I think the next ten years are going to be-- as long as you didn't overspend in '21 and '22, you're going to be in a really good spot.

Matt McClure: Let's talk a bit about your career journey. So, I don't know if you know this, but we both actually worked at Solomon Brothers back in the day. So, you went there straight after college.

Pete Stavros: I did.

Matt McClure: Was it always your intent to get into finance?

Pete Stavros: I definitely did not want to get into finance. So, I was a chemistry major in college. And I only got one job offer, which was Solomon Brothers. I was not excited about it. I didn't want to go to Wall Street. I had plans with my high school friends to live together in

Chicago. And I got to final rounds at BCG in Chicago and then didn't get the job.

Matt McClure: You know, it's a very different skill set, right, going from kind of advisory to principal and investing. How did you find that switch?

Pete Stavros: I found it easy at that love because it was still so deeply analytical. I found it much more challenging when I-- so, I applied to KKR three times. Once as an analyst, once out of business school, and then once in 2004/2005. And then when I finally got the job at KKR, that transition I found really hard. That was a scale and complexity that was very foreign to me. The complexity of even just the financings we were doing was a real hill to climb.

And then becoming more operationally inclined. And understanding like what actually is going on in these companies? What's driving value? And getting away from the valuation and the deals, that was also a lot.

Matt McClure: A lot of your inspiration and drive comes from the experiences of your father who, as I understand,

was an early construction worker in Chicago. And we're going to talk a lot about Ownership Works. But just give the audience a bit of background around that and how that led you to really focus on employee ownership.

Pete Stavros: Yeah. So, my dad operated a road grader. And he was a member of a union, Local 150, in Chicago. And there was just constant conflict between my dad and his colleagues in the union and the company. And almost all the conflict was over paid hours. So, half of Americans earn an hourly wage. And if you think about it, it's really stupid. Like, why are we compensating people for how many hours they put in as opposed to outcomes or productivity or anything? And he just really brought this all to light at the dinner table.

So, you know, for example, one day I come home from work. He's home from work early because they're in a big fight. The union's in a big fight with the company again. And what they had done was they whittled away the hours while still maintaining the productivity requirements. So, they would say, "Well, we're not going to pay you to drive to the job site anymore. Why would we pay you? That's not productive time." Which is fine as long as you adjust the

wage. If you're making $15 an hour, that's a problem if they start saying, "Well, we're not going to pay you to drive there and drive home." And then they took away the lunch hour. And that was kind of the final straw.

So, all the guys were with my dad at our house. And they're kind of hatching this plan, which was to conspire with the road aggregate supplier, who was also union, to deliver the road aggregate, which is a key ingredient for paving roads, right at lunchtime so my dad could be like, "What a shame. We don't work the lunch hour. Can't accept delivery."

So, they did that for a few days and ran the job out of material. Shut the whole thing down. And that was kind of what I experienced growing up of workers and companies are just not on the same page, particularly hourly front-line folks.

So, my dad's dream was some kind of aligning mechanism. Didn't have to be like ownership in true form, but profit sharing, something that would get the workers to care about on time delivery, quality, doing the job right the first time. And so, yeah, that's where a lot of the inspiration came from.

And to be clear, I did not leave home being like, "This is my role in life." It's just there's so many weird things that happened during my career, including even getting to finance in the first place, it just kind of happened.

Matt McClure: What was the catalyst for you founding Ownership Works? Like, what was the point at which you thought, now's the time where I should actually implement this? And it might be worthwhile for the audience just describing how it works and what the philosophy is.

Pete Stavros: When I went to business school, I went to my finance professor and said, "I worked on this ESOP thing. No one's ever heard of it." And he had never heard of it. And so, we spent a year researching ESOPs and we published a paper on it about, like, what happened, why did Congress pass this law, why has it not taken off?

Again, fast forwarding, I'm at KKR and we buy Capital Safety, which Matt was involved with. And this was the first industrial company with a blue-collar workforce we had acquired in probably 20 years. And between signing and closing, we started getting faxes into the office from front-

line workers kind of sounding like my dad. "Supervisors don't listen to us. There's no alignment. By the way, the workplace is unsafe," and this was a safety equipment company. So, there were all these massive problems.

That was where we first tried worker ownership, combined with other things. Fixing safety. A long list of things. But ownership was at the core of what we tried at Capital Safety.

Matt McClure: So, just pick that apart for a second. Sorry to interrupt. So, you would take some of the KKR equity and then just distribute it amongst the workforce? How did they--

Pete Stavros: So, the problem-- I'm embarrassed to tell you how long it took us to figure this out because this was pre the JOBS Act. And you could not just give 1,000 workers stock. The SEC wouldn't allow it. Because you'd blow through the limitations on how many shareholders you could have in a private company.

In addition, we had some workers in Western Europe, where if you get granted stock or options, you have dry

income. So, you're taxed on an option in Belgium, as an example, even though you're not getting any cash. So, there were all these reasons why just, like, giving people a bunch of stock and options didn't work.

We set up a trust, and we put a block of options in a trust. And all the workers participated through the trust. You'd be shocked at how long it took us to figure that out. That was the structure of it.

But anyway, that was the first time we ever did it. We did a terrible job. Our communication was poor. No one understood it. But we've now done this 80 times over the last 15 years. Every time we do it, we get smarter how we communicate, how we educate, how we give workers real empowerment, not just "here's a share of stock." We borrow a lot of things from Toyota on how we give front-line folks more control over their daily work. And then all of that taken together is what-- when it works. And it doesn't always work and I'm happy to talk about that, but that's what creates the ownership culture.

Matt McClure: And what's the receptivity been to the philosophy, but with the workforce and then I assume, I

mean, is this a bipartisan issue? Is this something that politicians generally get behind? Or they're just cynical because it's private equity?

Pete Stavros: So, Ownership Works is a non-profit that there's 100 supporters of, including Goldman Sachs. But we work with labor unions, labor advocates, non-profit foundations, banks, investors. It's kind of a cool consortium. Working on how can we get more CEOs and boards to want to do this? How can we build the business case that it's effective? And then how can we continually evolve our playbook on how do you help a CEO do this well? Like, create this kind of culture?

On the policy side, a whole separate effort. I think through Ownership Works, we have now hundreds of companies that have done this. We're talking about hundreds of thousand so front-line workers who have been given stock. That's great. And I think we'll reach probably 2 million front-line workers at Ownership Works. But we have 140 million Americans working full-time. So, that's a drop in the bucket. It's great for those 2 million. But it's not going to matter for the broader economy. So, that's where we need policy.

So, I've been working for the past three years on policy initiatives that would encourage companies to go down this path. And your question on bipartisanship, it is a unicorn of an issue. I've done a bunch of polling work. There's nothing that polls the way employee ownership does once people understand it. And that's the problem. Is 3 percent of Americans know what we're talking about right now. But if you educate them with a one-minute video and a one paragraph explanation across Republicans, Democrats, Independents, they are more likely to vote for people who support this and they actually want government intervention.

So, to hear Republicans say, "Now that I get this, I want to see more of it. And I want the government to get involved in making it happen." And I'm talking 80 - 90 percent of Republicans.

Matt McClure: So, what happens next on the policy front?

Pete Stavros: So, we'll launch a formal policy initiative some time next year. And we're just working-- I think I've

probably met with 80 or 100 members of the House and Senate on this. And we've spent a lot of time with the administration. If we're going to go through all of this, I want to make sure people are going to use it. So, we're spending a lot of time with CEOs. Obviously, we have our own portfolio. But think of, you know, the ten largest publicly traded employers in the country. We're working with all of them. But yeah, people, family businesses, and honestly, CEOs are increasingly drawn too.

If you're a CEO and you're used to your mission every day being I've got to get more earnings, that's, like, not that exciting. But if you could lift up 10,000 people and change their lives-- and we haven't talked about this, but we're talking about folks who go in, they're in debt. Their financial lives are a mess. And they come out of this and they might make $100,000. They might make a quarter of a million dollars. And they're provided financial literacy training. We've done a lot of work with Goldman and Ayco on this. So, they're being given the tools to get their financial lives in order. They get wealth. Their engagement scores go up. I mean, just to give you a quick example, it took ten years. But the quit rate at Ingersoll Rand went down 90 percent. The engagement scores went from the

19th percentile to the 91st. So, it's not just wealth and financial skills. But people feel respected. They feel included. They feel more--

Matt McClure: More a part.

Pete Stavros: Like I'm a part of something. Yeah.

Matt McClure: Thank you.

Pete Stavros: Awesome, thank you.

Matt McClure: Really appreciate it. Thanks so much.

Pete Stavros: Thanks a lot. Yeah.